REGIONAL LENDING OPERATIONS

Employee Performance Management Rules

A clear framework for quarterly conversations, responsible loan production, career development, rewards, and performance improvement.

Document status	Draft for HR, Legal and Compliance Review
Policy owner	Human Resources and Regional Operations
Applies to	Regional VPs, Branch Managers, and branch employees involved in loan generation
Review period	Quarterly, with annual reward and promotion decisions
Version	0.1 - September 2026

Important

This draft establishes a consistent operating framework. It does not replace applicable employment law, regulatory requirements, collective agreements, leave or accommodation obligations, or approved company compensation plans.

1 Score information

How quarterly performance is calculated, evidenced, and approved.

Performance has two equally weighted components. The final score is a management decision supported by documented evidence; GenAI may summarize the evidence but may not assign or approve the rating.

Component	Weight	What is evaluated
Loan performance	50%	Eligible funded-loan amount compared with the employee's approved quarterly target. Only validated, compliant, and correctly attributed loans count.
Manager evaluation	50%	Strategy and execution, communication, business domain knowledge, and career development. Each topic contributes 12.5% of the final score.

Score	Performance level	Required interpretation
1	**Improvement required**	Results or behaviors materially fall below expectations. A formal improvement response is required.
2	**Partially meets expectations**	Some expectations are met, but important gaps require a documented coaching plan.
3	**Meets expectations**	Consistent, reliable performance appropriate for the role and experience level.
4	**Exceeds expectations**	Performance is regularly above normal role expectations and creates additional value.
5	**Significantly exceeds expectations**	Sustained exceptional results and behaviors with broader branch or regional impact.

Loan-performance rating bands

Target attainment	Loan rating	Interpretation
Below 70%	**1**	Materially below target
70% to below 90%	**2**	Below target
90% to below 110%	**3**	Expected range
110% to below 130%	**4**	Above target
130% or higher	**5**	Significantly above target

Scoring guardrails

The weighted score is a starting point, not an automatic decision. A confirmed material compliance, conduct, data-integrity, or customer-harm issue may cap or reduce the final rating. Ratings of 1 and 5 require specific written evidence and second-level calibration.

2 Meeting frequency

Required timing and documentation for the manager-employee review.

Requirement	Rule
Formal review	One documented meeting per quarter, for a minimum of four meetings per calendar year.
Due dates	Q1 by April 15; Q2 by July 15; Q3 by October 15; Q4 by January 15 of the following year.
Duration	Plan for 45 to 60 minutes. The conversation must allow adequate time for employee input.
Preparation	Manager shares available metrics and agenda at least two business days before the meeting. The employee may submit a self-assessment.
Documentation	Manager records ratings, evidence, goals, and actions within three business days. The employee acknowledges or comments within five business days.
Missed meeting	Reschedule within ten business days. Repeated overdue reviews are escalated to the Regional VP and HR.

Recommended check-ins

Managers should hold brief monthly or mid-quarter check-ins when goals, workload, customer risk, or development actions require closer support. These do not replace the formal quarterly meeting.

3 Meeting topics

A consistent agenda that balances outcomes, behaviors, risk, and development.

Topic	Required discussion
Loan results	Target, funded volume, pipeline health, attribution corrections, product mix, and relevant quality indicators.
Strategy and execution	Quarter priorities, market approach, customer outreach, pipeline actions, and barriers needing leadership support.
Communication	Customer communication, teamwork, responsiveness, escalation, feedback, and collaboration with operations or credit partners.
Business knowledge	Product knowledge, policy application, documentation quality, regulatory awareness, and appropriate customer recommendations.
Career aspirations	Desired roles, skills, training, mentoring, mobility preferences, and realistic next-step development experiences.
Goals and support	Prior-quarter commitments, new measurable goals, owners, due dates, resources, and follow-up schedule.

Respect and confidentiality

Performance notes must be factual, job-related, and limited to information needed for the review. Managers must not record irrelevant medical details, protected characteristics, rumors, or personal information unrelated to legitimate business decisions.

4 Strategic objectives

How individual performance supports responsible growth and customer trust.

The company will evaluate performance against a balanced set of objectives. Loan volume is important, but employees must never be encouraged to sacrifice customer suitability, documentation quality, fair-lending obligations, or policy compliance to reach a target.

1. **Responsible loan growth**
   Grow funded loan production through qualified opportunities, accurate attribution, disciplined pipeline management, and sustainable customer relationships.

2. **Customer outcomes**
   Recommend products that fit documented customer needs, communicate terms clearly, and provide a consistent and respectful experience.

3. **Risk and compliance**
   Follow lending, fair-lending, privacy, conduct, documentation, and escalation requirements. Report concerns promptly and cooperate with quality reviews.

4. **Operational quality**
   Submit complete and accurate applications, reduce avoidable rework, protect data quality, and partner effectively with underwriting and servicing teams.

5. **Talent and capability**
   Build business knowledge, exchange effective practices, coach peers when appropriate, and complete agreed development actions.

6. **Leadership visibility**
   Give branch and regional leaders timely, reliable information so they can allocate support, manage risk, and recognize strong performance.

4 Metric eligibility and incentive controls

Rules that protect data quality, customers, and responsible lending.

Metric eligibility rules

- Only funded loans attributed to the employee and accepted by the source lending system count toward production.
- Cancelled, duplicate, fraudulent, reversed, or policy-ineligible transactions do not count.
- Corrections must be approved and auditable. A closed review is updated only through a documented adjustment process.
- Targets must be approved before the quarter, reflect role and market conditions, and be changed only through documented authorization.
- Managers may use quality and risk evidence to moderate a rating, but may not manipulate transaction data or apply undocumented standards.

No volume-only incentives	No bonus, promotion, or performance rule may reward unsafe, deceptive, discriminatory, or noncompliant lending. Customer and compliance obligations always take priority over production volume.

5 Bonus rules and promotions

Reward outcomes are tied to performance, conduct, company results, and approved budgets.

The annual performance bonus uses a role-specific target bonus established by the approved compensation plan. The performance rating determines a recommended multiplier; it does not guarantee payment.

Final rating	Recommended multiplier	Bonus treatment	Promotion treatment
1	0.00x	No performance bonus, except where another approved plan or legal requirement applies.	Not eligible while the rating or improvement plan remains active.
2	0.50x	Reduced award, subject to conduct, company funding, and plan terms.	Normally not eligible; performance gaps must first be resolved.
3	1.00x	Normal target award, subject to company and individual eligibility.	May be considered when role readiness and business need are demonstrated.
4	1.25x	Above-target award, subject to funding and calibration.	Eligible for stretch assignments and promotion consideration.
5	1.50x	Highest standard award opportunity, subject to funding, controls, and calibration.	Priority consideration, but promotion is not automatic.

Bonus gates

- The company, region, and compensation plan must meet applicable funding and eligibility conditions.
- Awards are prorated for eligible service time, leave, transfer, or role changes according to the approved compensation plan.
- A confirmed material compliance, conduct, customer-harm, or data-integrity event may reduce an award to zero regardless of the numeric score.
- Employees must be active and eligible on the plan's payment date unless an approved exception or law requires different treatment.
- HR and Finance must approve final awards; managers may recommend but may not promise a payment.

Promotion readiness rules

Criterion	Minimum rule
Sustained performance	Average rating of at least 4.0 across the most recent four completed quarters, with no rating below 3.
Time in role	Normally at least 12 months, unless HR approves an exception based on experience or business need.
Conduct and compliance	No active disciplinary action or unresolved material compliance issue.
Capability	Required knowledge, skills, licensing, training, and demonstrated readiness for the target role.
Business conditions	An approved position, budget, succession need, and selection process must exist.

Decision rule

A rating of 5 identifies an employee for enhanced recognition and career consideration; it does not create an entitlement to a bonus amount, promotion, job opening, or timing commitment.

6 Rules for employees needing improvement

A fair, documented, and supportive response to ratings of 1 or repeated ratings of 2.

The objective is to clarify expectations, provide reasonable support, protect customers and the institution, and give the employee a fair opportunity to demonstrate improvement.

Trigger	Required response
Rating of 1	Manager consults HR and issues a formal performance improvement plan within ten business days after the review is finalized.
Rating of 2	Manager creates a documented coaching plan within ten business days. Repeated or material gaps may lead to a formal improvement plan after HR review.
Immediate risk	Customer, compliance, conduct, licensing, or safety concerns are escalated immediately under the applicable policy; the quarterly process does not delay action.

Required improvement-plan contents

- The specific performance or behavior gap, supported by dates, metrics, examples, and the applicable expectation.
- Two to five measurable outcomes that the employee can reasonably influence.
- A normal duration of 60 to 90 days, with an earlier response permitted for serious risk or conduct matters under other policies.
- Training, coaching, job aids, workload review, system access, or other resources the company will provide.
- Weekly or biweekly manager check-ins, a midpoint review, and a final written assessment.
- The possible outcomes: successful completion, continued coaching, a justified extension, reassignment where appropriate, or further action up to and including termination, subject to HR and law.

6 Improvement fairness and employee rights

Consistent standards, correction rights, and accountable management.

Fairness and employee rights

Rule	Application
Consistent standards	Use the same role expectations and evidence standards for similarly situated employees. HR reviews material exceptions.
Employee response	The employee may add written comments, provide evidence, and identify factual errors without retaliation.
Data correction	Verified errors in targets, attribution, status, or calculation must be corrected through an auditable process.
Accommodation and leave	Managers consult HR before acting when disability, protected leave, accommodation, or another legally protected circumstance may be relevant.
Review request	An employee may request HR review within ten business days of receiving the final rating or improvement plan.

Manager responsibility

Managers must not wait until quarter end to raise known material concerns. Feedback should be timely, specific, respectful, and accompanied by clear expectations and appropriate support.

A Governance and decision controls

How the rules are administered across employees, branches, and regions.

Role	Primary responsibilities
Employee	Prepare for meetings, discuss results and aspirations, complete agreed actions, acknowledge the review, and report factual data issues.
Branch Manager	Hold timely meetings, evaluate evidence consistently, document decisions, set goals, provide coaching, and protect confidentiality.
Regional VP	Monitor completion, compare branches, calibrate exceptional or low ratings, address manager consistency, and allocate support.
Human Resources	Own policy, advise on improvement and employment decisions, monitor fairness, coordinate appeals, and retain required records.
Compliance and Risk	Define material risk gates, review relevant events, and ensure incentives do not encourage unsuitable or prohibited lending behavior.
Finance	Confirm compensation funding, plan rules, approved multipliers, and payment controls.
GenAI system	Retrieve authorized evidence, summarize records, explain calculations, and draft discussion points. It cannot approve ratings, bonuses, promotions, or employment actions.

Required controls

- Role-based access: employees see their own records; managers see authorized direct reports; Regional VPs see authorized regional information; HR and control functions receive policy-based access.
- Auditability: changes to targets, transactions, ratings, approvals, and generated summaries retain the actor, timestamp, prior value, new value, and reason.
- Quarter close: finalized metric snapshots do not change silently. Corrections create a documented adjustment and approval record.
- Calibration: all ratings of 1 and 5 receive second-level review; HR may sample other ratings for consistency and bias monitoring.
- Retention: records follow the approved HR, compensation, lending, privacy, litigation-hold, and regulatory retention schedule.
- AI transparency: generated summaries identify their supporting records and remain editable by the accountable manager.

Annual operating cycle

When	Activity
Before each quarter	Approve employee and branch targets; confirm assignment, manager, and eligibility data.
During the quarter	Monitor pipeline, quality, risks, goals, and development; provide timely coaching.
Quarter end	Validate transactions, calculate metrics, hold the review, document ratings, and capture acknowledgment.
Year end	Complete rating calibration, apply bonus gates, review promotion readiness, and approve awards through HR and Finance.

Approval before launch

HR, Legal, Compliance, Risk, Finance, Information Security, Privacy, and executive leadership should review this draft before it is adopted, configured in the application, or used for compensation or employment decisions.